September 17, 2025

Global Relations and Development Division
OECD Centre for Tax Policy and Administration
By email to: CTP.BEPS@oecd.org

Public consultation document: Determining the Price of Minerals:
A transfer pricing framework for Copper

Dear Jacqueline, Dear Thomas, Dear Andrew

Thank you for the opportunity to comment on the public consultation document "Determining the Price of Minerals: A transfer pricing framework for Copper, published on 10 July 2025 (the "Draft"). These comments have been written from the perspective of Forvis Mazars.

We consider that the Draft constitutes an excellent document on the market of copper, its use, market organization and above all, on the drivers of the price in copper transactions, between third-parties.

We respectfully share the comments below:

- **Base Assumption / Method Selection:** The document is prepared under the premises that the CUP is the most appropriate method to address copper transactions. Nevertheless, the CUP requires that limited / no comparability deviation between controlled and uncontrolled transactions. Yet, based on our experience, intercompany arrangements often materially derive from uncontrolled transactions on a number of aspects:
    - **Functional differences:**
        - Valuable intangibles[1] at the level of the purchaser[2] in intercompany transactions
        - Allocation / management of important risks (e.g. market risk) at the level of the purchaser in intercompany transactions
        - Differences in the functions of the parties / the market level of the transaction[3]
    - **Contractual Terms / Nature of the relationship**: long term integrated relationship in controlled transactions vs "spot" transactions (while using market data)

[1] Or comparability factors
[2] Such as (i) market know-how (ii) industrial & technical know-how, (iii) market position, (iv) access to market, etc.
[3] As an example comparing an un controlled transaction where the purchaser only performs « trading » activities with a controlled transaction where the purchaser alos performs functions as engineering, strategic planning, etc. would not be appropriate.

Accordingly, we believe that it is possible that, in a number of circumstances, the CUP method may not be the best or the only appropriate transfer pricing method (See below)

- **Comparability adjustments**
    - **Materiality of adjustments:** The worked example is highly helpful. Yet, we recommend articulating that the level of detail for the analysis supporting the adjustment should be commensurate with the materiality of the transactions (i.e. adjustment may be optional, depending on their impact)
    - **Volume:** It is unclear whether the guidance suggests that prices should be adjusted for volumes (e.g. when comparing, large intercompany transactions vs market data) or not.
    - **Date:** The guidance could be more precise as to how to select the time range for the data sample
        - In terms of reference date: Should we consider the shipment date? the order date?
        - In terms of duration: as example, is 1 month of data before the reference date appropriate?
        - In terms of determination of the arm's length range: should it be the interquartile range?
- **Funding & Risk:** Financing transactions are critical in the mining industry. Their pricing is closely tied to the arm's length measurement and allocation of risks (market risk, relating to either long term or short-term market fluctuations, as well as operational / industrial risk). This should be an area of focus for the task force going forward.
- **Additional Economic Analyses Methods:** We think that, in certain circumstances, additional methods, - typically in conjunction with the External CUP considered de facto in the document - could be used:
    - **Internal CUP** (e.g. long-term supply or offtake agreements with third party miners / traders / industrial companies)
    - **Acquisition price:** i.e. infer a range of return based on the sale of comparable mining operations between third parties (typically based on internal data)
    - **Return on Investment**
- **Other - Transaction Delineation**: The document could be more precise on the fact that the analysis may not need to be conducted on a shipment basis, but possibly on a yearly aggregate of all shipments or some other relevant aggregation method, depending on facts and circumstances.

Please contact Guillaume Madelpuech Guillaume.Madelpuech@avocats.forvismazars.com) or Coralie Crespin (Coralie.Crespin@avocats.forvismazars.com) for any question or comment you may have.

Yours sincerely

Forvis Mazars